

Meta Platforms, Inc.

META NASDAQ

Buy \$559.02 ▲ 1.66% 12M Price Target \$640.00 52-Week Range \$520.26 – \$790.80

Market Cap \$1.42T

META: Antitrust Trial Resumes, AI Monetization Story Building

WHAT HAPPENED

- Stock is up ~3% over the past week and closed +1.66% yesterday at \$559 — but here's the thing: it's still stuck near the BOTTOM of its 52-week range (14% of range). Translation: this is a beaten-down mega-cap that's just starting to wake up. The catalyst is a mix of the FTC antitrust trial resuming (which the market seems to think META will survive intact) and growing buzz around Meta's new "Hatch" AI agent platform, which is their first real attempt to make money directly from consumer AI (not just ads).
- Cramer flagged that the "data center backlash" (communities pushing back on power-hungry AI facilities) actually HELPS the hyperscalers like Meta because they've already secured their land, power, and permits — smaller players can't catch up. That's a moat forming in real time.

WHY IT MATTERS

Here's what I'm reading between the lines: the CFO sold ~\$2.7M of stock on Aug 18, which sounds bearish, but insider selling at mega-caps is usually just tax planning — and it happened BEFORE the recent rally, so they're leaving money on the table. Meanwhile, options flow is screaming bullish (put/call ratio of 0.31 means traders are buying 3x more upside bets than downside protection) with unusual call buying at \$555-\$565 strikes — someone with size thinks this pops through \$565 into month-end. The bigger picture: META is trading like the antitrust trial is going badly, but if they get a "monitor and modify" outcome (likely) instead of a forced Instagram/WhatsApp breakup (unlikely), you get an immediate re-rating. That's the setup — cheap stock + bullish flow + binary catalyst that's tilted in their favor.

POLICY & POLITICAL WATCH

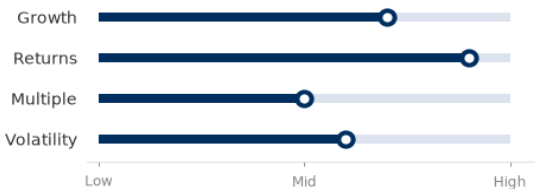
The FTC antitrust trial is THE story — the government wants to unwind Meta's Instagram and WhatsApp acquisitions from a decade ago. Base case is a settlement or narrow ruling (behavioral remedies, not structural breakup), which would be a massive relief rally. Secondary policy watch: the Trump administration's AI executive orders have been pro-hyperscaler (loose regulation, fast permitting for data centers), which is a direct tailwind — and the EU's Digital Markets Act fines are the ongoing headwind (~\$200M-\$1B range, annoying but not material to a \$1.4T company). Bottom line: US policy is friendlier to META than it's been in years, EU is hostile but priced in.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$559.02
12M Price Target	\$640.00
Upside / (Downside)	+14.5%
Market Cap	\$1.42T
FY2026E Revenue	\$195M
FY2027E Revenue	\$222M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	20.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$590.00	\$565.00	\$525.00
6 Months	\$680.00	\$610.00	\$490.00
1 Year	\$780.00	\$640.00	\$460.00
2 Years	\$900.00	\$720.00	\$440.00
5 Years	\$1200.00	\$850.00	\$400.00
10 Years	\$1800.00	\$1100.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Staples (+1.7%) and Financials (+1.3%) leading — that's a defensive-plus-rate-cut trade, suggesting the market is bracing for a slowdown but expecting the Fed to cushion it. Utilities also up on the AI power demand story.

COOLING OFF: Consumer Discretionary lagging (+0.24%) — consumer is getting tired, which is a yellow flag for ad-supported businesses like META because ad budgets are the first thing companies cut in a slowdown.

ROTATION WATCH: Money is quietly rotating back into mega-cap tech (Comm Services +0.83%) as bond yields stabilize — META benefits directly because it's the cheapest name in the Mag 7 group.

RELATED PLAY: If META's AI infrastructure story keeps working, the picks-and-shovels plays (Nvidia obviously, but also data center REITs like DLR and EQIX, and power utilities like VST and CEG that feed the data centers) all catch a bid.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Every dollar META spends on AI infrastructure lands on Nvidia's income statement — direct beneficiary of hyperscaler capex.
- GOOGL (Alphabet): Similar antitrust overhang, similar cheap multiple, similar AI story — trades in sympathy with META on any positive regulatory news.

META CONTEXT: META is LAGGING its Mag 7 peers badly — it's at 14% of its 52-week range while Nvidia and Microsoft are near highs. That's either a warning sign or an opportunity, and given the earnings power and cheap multiple, I think it's opportunity. When the antitrust cloud clears, this is the mean-reversion trade in mega-cap tech.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$540-550 on macro pullbacks

Time Horizon: 12-18 months

Thesis Invalidation: Adverse FTC ruling forcing Instagram/WhatsApp divestiture, or ad revenue growth dropping below 10%

Hedging: Buy protective puts around FTC ruling dates, or pair with a short on GOOGL if you want pure META alpha